



FIGURE 1.1 Robert Shiller, former president of the Eastern Economic Association and best-selling author.

been applying their work to the “real world,” which makes them especially worthy of our attention. While this is clearly not an exhaustive list, the names of the people we will review are: Professor Robert Shiller, Professor Richard Thaler, Professor Meir Statman, Professor Daniel Kahnemann, and Professor Vernon Smith.

The first prominent figure we will discuss is Professor Robert Shiller (Figure 1.1). Some readers may be familiar with the work *Irrational Exuberance*, by Yale University professor Robert Shiller, PhD. Certainly, the title resonates; it’s a reference to a now-famous admonition by Federal Reserve Chairman Alan Greenspan during his remarks at the Annual Dinner and Francis Boyer Lecture of the American Enterprise Institute for Public Policy Research in Washington, D.C., on December 5, 1996. In his speech, Greenspan acknowledged that the ongoing economic growth spurt had been accompanied by low inflation, generally an indicator of stability. “But,” he posed, “how do we know when irrational exuberance has unduly escalated asset values, which then become subject to unexpected and prolonged contractions as they have in Japan over the past decade?”¹ In Shiller’s *Irrational Exuberance*, which hit bookstores only days before the 1990s’ market peaked, Professor Shiller warns investors that stock prices, by various historical measures, have climbed too high. He cautions that the “public may be very disappointed with the performance of the stock market in coming years.”² It was reported that Shiller’s editor at Princeton University Press rushed the book to print, perhaps fearing a market crash and wanting to